

Tokenization's Summer Surge Is On — But the Sector Is Still Tiny

Big headline numbers this month point to real acceleration in tokenized assets. The gap between the hype and the institutional money still needed to close it remains enormous.

REAL-WORLD ASSET SUMMIT BROOKLYN 2026 · INTERVIEW

Some big numbers this past week suggest an acceleration in tokenized asset growth — enough to keep the sector firmly on investors' radars, and enough to warrant a reality check on how far it still has to go.

THE WEEK IN FIGURES

\$900M Twenty months after launch, the Avalanche instance of BlackRock's BUIDL money market fund suddenly added \$436 million in a single week to reach \$900M in AUM.

\$3.1B Two weeks after launch, Robinhood's new decentralized onchain exchange for tokenized stocks recorded \$3.1 billion in trading volume.

\$5B+ Freshly IPO'd tokenization platform Securitize said it had surpassed \$5 billion in tokenized assets.

This multi-front summer surge will keep tokenization on people's radars, as will new official endorsements — such as the U.K. government's announcement this week backing tokenized wholesale finance in the City of London.

But let's not get carried away. There are signs Robinhood's initial surge is less about demand for tokenized stocks and more about day traders' mania for memecoins. And BlackRock's BUIDL fund, across all seven chains it runs on, now stands at \$2.87 billion in total AUM.

0.0036%

BUIDL's share of the \$7.95 trillion in U.S. money market fund holdings — a drop in the proverbial bucket.

The bottom line: while everything points in the right direction, the tokenization industry needs large-scale institutional participation if it is to live up to its promise to transform the global financial system.

That's what New York Life Investment Management's **Thomas Sy**, keynote speaker at the Real-World Asset Summit Brooklyn 2026, is focused on. Sy told me pension funds, sovereign wealth funds, insurers and other large asset owners are looking closely at the sector — and he's convinced they'll eventually find the efficiency and customization gains irresistible. Getting them on board, though, takes a variety of enticements, including fixed income products that fit their risk-weighted, buy-and-hold models.



Thomas Sy

MANAGING DIRECTOR · HEAD OF MULTI-ASSET SOLUTIONS, NEW YORK LIFE INVESTMENTS

Sy executes on the MAS team's strategic initiatives and oversees day-to-day operations across investment strategy, business development and trading. The team manages more than \$8 billion in AUM and acts as a thought partner to global institutional and individual investors.

— THE INTERVIEW

Q Give us your aha moment — what problem did you see tokenization solving, and when did the penny drop?

Building customized solutions for my investors. My team manages around \$11 billion in customized solutions — combining different asset classes into one investment product. The problem is that the customization sits *outside* the asset, so imagine the operational complexity of putting different asset classes into one portfolio. That complexity forces significantly high investment minimums.

Combining public and private credit into one structure — with different reporting requirements, accounting standards and service providers — isn't scalable. About a year and a half ago I started searching for how to do this at scale, where the customization sits *inside* the asset rather than around it. I discovered the blockchain. I discovered tokenization, and I discovered RWAs. Now I can create hyper-customized portfolio solutions at scale.

Q How does tokenization change the equation for investors — does it widen the range of products and add diversification?

Two things. First, I can create better investment products — not just from less friction, but from access to asset classes that previously couldn't be packaged into a legal wrapper. Second, I can do it at lower investment minimums, offering hyper-customization to individual investors and allocators. That's the vision.

Investors may think they're diversified, but they're really not. A typical individual portfolio is mostly U.S. exposure — not enough global exposure or real assets, heavily skewed toward U.S. fixed income and equities. Tokenization gives you access to asset classes that have never been able to be structured into a product.

Q What's actually going to drive critical mass — what needs to happen for institutions to move from testing to real adoption?

Institutional investors — sovereign wealth funds, pension funds — optimize for risk-adjusted returns that match certain liabilities. So we need more credit-oriented products and more real assets — real estate, private equity — that meet their investment needs and horizons. Many products today are optimized either for yield or for lower-risk money market funds and treasuries. There's a middle ground: differentiated credit products optimized for risk-adjusted total return, different flavors of credit onchain for long-term investors.

We also need the infrastructure. Off-chain we have centralized, regulated, accountable intermediaries — custodians, prime brokers, clearing houses. All of that has to exist onchain. We won't rip out the old infrastructure and drop in the new; there's going to be a transition period where we live with both. Large institutions will start identifying what parts can go onchain and what stays off.

Q What work underway do you see as the key trigger mechanisms for broader institutional adoption?

One of the big unlocks has been stablecoins. In my discussions with clients inside and outside the U.S., they're starting to test stablecoins in treasury management and payments — that's the big unlock. Now they're onchain, now they have a wallet, now they'll get more comfortable investing through stablecoins and using them to move money. Once they're comfortable with that, we can move toward RWAs.

The thing already happening today is collateral movements and repo transactions — at scale. That's a clear case where blockchain has added a lot of value, and I expect more institutions using it for collateral movements this year.

Q There's still a big educational gap between TradFi and DeFi — what needs to happen on both sides to close it?

For far too long TradFi and DeFi folks have been talking past each other. We're starting to come together, but there's still a big gap between goals and objectives. The crypto folks have done the fun part — now comes the hard part: risk management, compliance, regulatory jurisdiction, interoperability, consumer protection. But TradFi also needs to pay attention to the good innovations DeFi and crypto have produced.

In all my discussions, I first have to separate crypto assets from tokenized RWAs — many institutional investors have a negative perception of crypto, so we need to disentangle the two. Look at this as a technology, as infrastructure. This is boring plumbing at the end of the day. Don't even think about staking or looping — just think about the plumbing. That's the base, and from there you can grow.